OECD FDI Regulatory Restrictiveness Index

Methodological framework

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OECD FDI Regulatory Restrictiveness Index: Methodological framework

Introduction

First created in 2003 and last revised in 2022, the OECD FDI Regulatory Restrictiveness Index (hereafter FDIRRI) measures statutory restrictions targeting foreign direct investment (FDI) across countries and over time. It is, therefore, a useful indicator for benchmarking market access and other barriers to FDI and for monitoring and showcasing FDI policy reform efforts. As a policy-based indicator, the FDIRRI can also be used to empirically assess and simulate the potential impacts of FDI regulatory reforms.

The current FDIRRI captures restrictions in 22 economic sectors and across four policy categories: (i) foreign equity limits; (ii) screening and approval of foreign investment; (iii) restrictions on key foreign personnel; and (iv) other operational restrictions. Individual policy measures are evaluated on a 0 (fully open to FDI) to 1 (fully closed) scale according to the FDIRRI scoring framework. Sectoral scores result from the sum of the scores across all four policy categories, capped at 1. The economy-wide FDIRRI is simply the weighted average of all 22 sectoral scores, using common sector weights across countries to ensure that any variance in scores is due to policy differences, not differences in sectoral weights (see Annex A for detailed information on the sectors covered and their weights).

Statutory discrimination against foreign investors is, in most situations, the main criterion for considering that measure constitutes a restriction under the FDIRRI. Any non-statutory discrimination that may occur during implementation and enforcement of FDI policies is not taken into account. Preferential treatment accorded to some investors over others as a result of more favourable treatment under international agreements or as a result of location and activity-based policies, such as for investments in special economic zones and export-oriented investors, are equally disregarded. State ownership and state monopolies, to the extent they are not discriminatory towards foreigners, are also not scored as restrictions.

The following sections present in more detail the current FDIRRI methodology adopted in 2022 and reflected in the Index results for years 2018-2023. For further information on the methodology and the revisions it has undergone over the years, please refer to Annex B.

Sources of information

The FDIRRI is based on statutory restrictions featuring in domestic legislation in force as of 31 December of each year. Following the adoption of the revised methodology in 2022, a stock-taking exercise was

carried out by the OECD Secretariat to update and identify all relevant regulatory measures in force as of 31 December 2021 that constituted a restriction as per the revised FDIRRI methodology.

This exercise involved reviewing previously recorded restrictions, which typically reflected policies reported in official OECD instruments on investment (e.g. OECD National Treatment instrument or the OECD Code of Liberalisation of Capital Movements) or identified in OECD *Investment Policy Reviews* and yearly monitoring reports on investment policy changes. Additional country-specific regulatory research was undertaken to complement the exercise as necessary. Various channels of information were used to complement the revision and identify potential restrictions and regulatory sources (e.g., the OECD Services Trade Restrictiveness Index, the World Bank-WTO Services Trade Policy Database, the Global Trade Alert database, UNCTAD's Investment Policy Monitor portal, global legal information platforms, such as Lexology and Mondaq, and legal guides, insights and reports by law firms). Whenever possible, the regulatory information has been validated by government representatives.[1]

The list of regulatory measures giving rise to restrictions under the FDIRRI can now be found in the new FDIRRI – Regulatory Database webpage.

Annual updates and retroactive reconstruction of the FDIRRI series

The 2021 FDIRRI regulatory database has been the baseline for the subsequent annual updates and for the reconstruction of the historical FDIRRI series, starting with 2018.

For countries that participate at the OECD Freedom of Investment Roundtable, annual updates are produced taking into account investment policy changes reported and published in the OECD's yearly monitoring reports. For the remaining countries, annual updates are based on country-specific regulatory research, which includes systematic verification of potentially relevant policy changes reported in the various channels of information mentioned above and investigation of policy changes in underlying legislation of previously recorded restrictions.

The retroactive series is being slowly reconstructed using a similar process as for the annual updates, but following a three-year interval.

Sectoral coverage

The FDIRRI currently captures FDI restrictions across 22 economic sectors:

- primary sectors: agriculture, forestry, fishing and mining
- manufacturing (divided into five sub-sectors)
- electricity
- main services sectors: construction, distribution (retail and wholesale), transport, accommodation and restaurants and other tourism-related services, media, telecommunications, financial services (banking, insurance and other financial services), professional services (legal services, audit and accounting, engineering, and architecture)
- real estate investment.

The 22 economic sectors are further broken down into sub-sectors and activities to better capture any variance in the scope of FDI restrictions. The sectoral coverage is defined in accordance with the United Nations' (2008) International Standard Industrial Classification of All Economic Activities (ISIC rev. 4), along the lines of the breakdowns applied by the OECD Structural Analysis Industry database (OECD STAN).

A detailed list of the sectors and activities covered by the FDIRRI is provided in Annex A.

Policy categories

The FDIRRI captures FDI restrictions across four categories of measures:

1. foreign equity restrictions
2. screening and approval of foreign investment
3. restrictions on key foreign personnel
4. other restrictions.

The discriminatory nature of a policy (i.e., when it applies solely or more stringently to foreign investors) is the central criterion for capturing it as a restriction under the FDIRRI. Nonetheless, certain non-discriminatory measures are also covered when they are considered particularly more burdensome for foreign investors, such as rules regarding the nationality of board of directors.

The following sub-sections describe the measures covered by each policy category in the FDIRRI.

Foreign equity restrictions

Foreign equity restrictions limit the extent of foreign ownership that is permitted in companies or in the aggregate of companies in a given sector. The FDIRRI distinguishes between foreign equity restrictions that apply to all foreign investments (i.e., both greenfield and Mergers & Acquisitions) and restrictions whose scope is limited to certain modes of entry.

Under this policy category, the FDIRRI also captures obligations to divest foreign shareholding after a certain time, as well as those rare occasions where foreign equity restrictions apply only to listed companies or privatised companies. In banking and insurance, this policy category also covers regulatory situations where foreign equity restrictions apply, but the entry of foreign investors through the establishment of a wholly-owned branch is permitted.

The measures under this policy area are further broken down by thresholds to reflect the extent of foreign shareholding allowed. Table 1 outlines the foreign equity restrictions covered and their scoring.

In this policy category, the FDIRRI also accounts for certain sector-specific considerations. In professional services, nationality is sometimes a pre-condition to obtain a license to fully practice the profession and, consequently, to hold an ownership interest in a professional services firm. In such cases, FDI is effectively not possible, and a foreign equity restriction is scored in the FDIRRI. In fisheries and water transport, activities such as commercial fishing and cabotage transport may be reserved to vessels flying the national flag. The registration of a vessel under the national flag may, in turn, be subject to limitations on foreign ownership. Such foreign shareholding conditions imposed on the registration and licensing of vessels are captured in the FDIRRI as foreign equity restrictions whenever they act as a gateway to the market.

Table 1. Scoring framework: Foreign equity restrictions

I. Foreign equity limits	Scores
	Greenfield and acquisitions
No foreign equity allowed	1.00
Less than 33% foreign equity allowed	0.80
Between 33% and 50% foreign equity allowed	0.60
More than 50% but up to 67% foreign equity allowed	0.40
More than 67% but below 100% foreign equity allowed	0.20
Acquisitions only / divestment obligations / equity limits apply, but branches allowed (banking & insurance only)	
No foreign equity allowed	0.50
Less than 33% foreign equity allowed	0.40
Between 33% and 50% foreign equity allowed	0.30
More than 50% but up to 67% foreign equity allowed	0.20
More than 67% but below 100% foreign equity allowed	0.10
	Greenfield only / listed companies only / privatised companies only
No foreign equity allowed	0.25
Less than 33% foreign equity allowed	0.20
Between 33% and 50% foreign equity allowed	0.15
More than 50% but up to 67% foreign equity allowed	0.10
More than 67% but below 100% foreign equity allowed	0.05

Screening and approval

The policy category of foreign investment screening covers government approval requirements of varying scope that discriminate against foreign investors. In the FDIRRI, only those screening and approval mechanisms that explicitly involve some sort of systematic economic assessment (e.g., with regard to the investment project's impact on employment, income or technology) by the authorities are considered as restrictions on FDI and scored. Screening mechanisms implemented exclusively for safeguarding essential security interests do not receive a score and therefore do not contribute to the FDIRRI results, but they are reported for transparency purposes as a *memorandum* item (Table 2).

Table 2. Scoring framework: Screening of foreign investment

II. Screening and approval	Scores
Screening policy mandates consideration of economic interests[1]	0.1
[*Memo item*] Other discriminatory screening mechanism (e.g. for essential security interests and public order)	Not scored

Note: 1. Excludes investments by foreign state-owned enterprises and acquisition of land and real estate for business purposes.

Restrictions on key foreign personnel

Restrictions on key foreign personnel capture rules that completely prohibit the appointment of key foreign personnel or impose nationality requirements for the board of directors (Table 3). Key foreign personnel refers to top-level executive positions, such as chairman, chief executive officers and chief financial officers, and includes the captain/master of a merchant vessel in the fisheries and water transport sectors. Besides nationality requirements, other restrictions related to key foreign personnel, such as residency requirements or economic needs tests, are not captured by the FDIRRI.

Table 3. Scoring framework: Restrictions on key foreign personnel

III. Restrictions on key foreign personnel/directors	Scores
Foreign key personnel (i.e. top-level executive positions) not permitted[1]	0.0500
Nationality requirements for board of directors	
Majority of board of directors must be nationals	0.0500
At least one member of board of directors must be national	0.0250

Note: 1. Includes high-ranking seafarer's professions in the case of fisheries and water transport, such as captain/master of a merchant vessel.

Other restrictions

The policy category of other restrictions covers a range of other operational restrictions commonly faced by foreign investors (Table 4). The following paragraphs describe some of these restrictions in more detail.

Local incorporation requirements are only captured as restrictions in financial services and real estate investment. In banking and insurance, direct branching is a traditional mode of entry, and in real estate, commercial presence can be particularly more burdensome for individual foreign investors.

Discriminatory local content requirements refer to policies requiring foreign investors to use local inputs produced by domestically-owned suppliers, limiting their ability to contract with other resident foreign-owned investors for such inputs. In contrast, local content policies limiting the use of imported inputs by both domestic and foreign-owned firms are not scored as restrictive in the FDIRRI. Similarly, in terms of preferential treatment in public procurement, only discriminatory measures against foreign-owned established firms, not foreign suppliers, is considered a restriction.

Restrictions on land and real estate ownership by foreign investors are recorded horizontally across sectors when applicable to property used for business purposes. These measures can include discriminatory limitations on access to land or real estate, such as requirements for prior approval or limits on quantity or size, as well as rules that prohibit ownership but allow leases of various lengths. Restrictions specific to the acquisition and ownership of land or real estate for investment purposes, however, are classified as foreign equity restrictions or screening requirements in the real estate investment sector, depending on the nature of the limitation.

Table 4. Scoring framework: Other restrictions

IV. Other restrictions	Scores
Reciprocity requirement	0.1000
Restrictions on (post tax) profit/capital repatriation (e.g., prior approval, quantitative or time limits)	0.0500
Establishment of branches not allowed/local incorporation required (financial services and real estate investments only)	0.0500
Restrictions on access to local finance	0.0500
Discriminatory minimum capital requirement	0.0500
Discriminatory local content requirement	0.0500
Government procurement offers preference to locally-owned firms	0.0500
Access to land/real estate is subject to discriminatory restriction (e.g., prior approval, quantitative/size limits, tax, etc.)	0.0500
Land/real estate ownership not permitted but leases possible	
Short-term lease: less than 30 years[1]	0.0500
Medium-term lease: up to 70 years[1]	0.0250
Long-term lease: over 70 years[1]	0.0125

Note: 1. Score scaled by a factor of 5 for agriculture and forestry and not scored in relation to land in border and coastal areas.

Scoring framework

The scoring of FDI restrictions is carried out at the level of individual policy measures, economic sectors, and finally at the economy-wide level. The following sub-sections outline these steps in the scoring.

Scoring of individual policy measures

In the FDIRRI, individual policy measures are evaluated on a scale of 0 to 1, with 0 representing a completely open regulatory environment for FDI and 1 a completely closed one.

The standard assigned weight to an individual measure is 0.05. When there are reasons to assume that a policy measure has a more or less significant restrictive effect than the average measure, its score has been adjusted to reflect the potential differences in the relative degree of restrictiveness of the individual policy measure. This way the scoring framework assigns higher weights to those measures that are considered more restrictive. For instance, the weights of foreign equity restrictions reflect the scope of the restriction (i.e., whether it applies to all foreign investment or only to a specific type of investment) and the degree of foreign ownership that is permitted (see Table 1). More restrictive shareholding limitations are assigned higher weights than less restrictive thresholds for policies having a similar scope of application (e.g., applied to acquisitions only). Similarly, policies having a wider scope of application are also assigned higher scores than those having a narrower scope of application.

Sometimes the variance in the design and scope of FDI policies goes beyond what is directly captured by the policy and sector breakdowns of the FDIRRI. For this reason, a standardised scoring adjustment framework is applied to account for any further variation in the scope of individual restrictions (Table 5). The standard adjustment factor reflects the extent to which the identified restriction covers the investors and activities within the appropriate FDIRRI policy measure and sub-sector. For instance, if the establishment of branches of foreign banks is subject to a reciprocity condition, the FDIRRI scoring reflects the score of 0.1000 assigned to the reciprocity condition policy measure (see Table 4 above), adjusted by a standard adjustment factor of 0.5 to account for the limited scope of application of the reciprocity condition within the banking sector (branches only). The score assigned to the restriction in this example would therefore be 0.1000 x 0.5 = 0.05, before the application of sector weights.

Table 5. Standardised score adjustment framework

Scope category	Standard adjustment factor	Definition
Fully applied	1	The measure is assumed to apply to almost the entire universe of activities within the respective sector or sub-sector breakdown (90% or more)
Largely applied	0.75	The measure is assumed to affect a highly significant share of activities within the respective sector or sub-sector breakdown (between 50% and 90%)
Fairly applied	0.5	The measure is assumed to affect an important but not overwhelming share of activities within the respective sector or sub-sector breakdown (between 30% and 50%)
Moderately applied	0.25	The measure is assumed to affect a small share of activities within the respective sector or sub-sector breakdown (between 10% and 30%)
Marginally applied	0.1	The measure is assumed to affect only a rather limited number of minor activities within the respective sector or sub-sector breakdown (between 5% and 10%)
Residually applied	0.05	The measure is assumed to affect only a few residual market segments within the respective sector or sub-sector breakdown (less than 5%)
EU exemption	0.6	The measure is waived for intra-European investors

Following the approach of OECD's legal instruments on investments, e.g., its Codes of Liberalisation, the FDIRRI recognises the European Union's (EU's) special customs and monetary system that supports its regional integration process and permits EU member states to liberalise FDI more rapidly or more widely among themselves. Hence, the FDIRRI takes into account intra-EU investment liberalisation by scaling

down the score of individual policy measures by 0.6 when specific FDI restrictions are waived for investors benefitting from access to the EU Single Market (i.e., investors from the EU, the European Economic Area and Switzerland), reflecting the fact that, on average, roughly 40% of total world FDI inward stock between 2013 and 2019 was constituted by intra-European FDI.

Sector scores and overall economy-wide FDIRRI

The sectoral scores reflect the sum of scores of individual measures across all four policy categories and are capped at 1 in case the sum is higher than one.

Sector weights are applied in the scoring to account for each sector's relative importance in the overall economic activity (see Annex A). Common sector weights are used across countries and over time to ensure that any variance in countries' scores is due to policy differences, not differences in sectoral weights. The applied sector weights reflect the average share in total value added of each of the 22 sectors covered over the years 1995, 2000, 2005, 2010 and 2015 for all 64 economies included in the OECD Input-Output Tables.

The economy-wide index of a given country is the sum of the sector-weighted scores of all 22 sectors.

References

Kalinova, B., A. Palerm and S. Thomsen (2010), "OECD's FDI Restrictiveness Index: 2010 Update", *OECD Working Papers on International Investment*, No. 2010/3, OECD Publishing, Paris, https://doi.org/10.1787/5km91p02zj7g-en. [1]

Notes

[1] The 2021 FDIRRI database underwent partial validation in 2022 by delegates from the OECD Investment Committee, representing 51 countries, and in 2023 by delegates from 15 member states of the Southern African Development Community (SADC) through the SADC Investment Sub-Committee. For the remaining countries, regulatory information has not been subject to official validation by the respective governments. However, information previously gathered through Investment Policy Reviews or country- and region-specific projects was reviewed and approved by the relevant governments during those projects' implementation. This information was also re-verified by the OECD Secretariat during the stock-taking process.

Annex A. Sectoral coverage and weights

Sector, sub-sector and further activity breakdowns	OECD Stan Industry Code	ISIC Rev. 4	Sectoral weights
1. Agriculture (Total)	**D01**	**A01**	**0.0500**
Agriculture – Crops	D01	A011-3; 0161, 0163-4	0.0250
Agriculture – Animal production, hunting and related service activities	D01	A014-5; 0162, 017	0.0250
2. Forestry and Logging (Total)	**D02**	**A02**	**0.0050**
3. Fishing and Aquaculture (Total)	**D03**	**A03**	**0.0050**
Fishing and Aquaculture – Fishing	D03	A031	0.0025
Fishing and Aquaculture – Aquaculture	D03	A032	0.0025
4. Mining & Quarrying (Total)	**D05T09**	**B05-09**	**0.0350**
Mining & Quarrying – Energy producing materials (i.e. coal, crude petroleum and natural gas)	D05T06	B05-06	0.0117
Mining & Quarrying – Except energy producing materials and support service activities	D07T08	B07-08	0.0117
Mining & Quarrying – Support service activities	D09	B09	0.0117
5. Manufacturing – Food and others (Total)	**-**	**C10**	**0.0650**
Manufacturing – Food and Others (food products, beverages and tobacco)	D10T12	C10-12	0.0217
Manufacturing – Food and Others (textiles, wearing apparel, leather and related products)	D13T15	C13-15	0.0217
Manufacturing – Food and Others (paper, wood, printing, furniture and other manufacturing)	D16T18, D31T32	C16-18, 31-32	0.0217
6. Manufacturing – Chemical, Rubber, Plastics, Fuel Products and Other Non-Metallic Mineral Products (Total)	**D19T23**	**C19-23**	**0.0500**
Manufacturing – Oil Refining and Chemicals (coke and refined petroleum products)	D19	C19	0.0167
Manufacturing – Oil Refining and Chemicals (chemical and pharmaceutical products)	D20T21	C20-21	0.0167
Manufacturing – Oil Refining and Chemicals (rubber and plastics products, and other non-metallic mineral products)	D22T23	C22-23	0.0167
7. Manufacturing – Basic Metals and Fabricated Metal Products, except Machinery and Equipment (Total)	**D24T25**	**C24-25**	**0.0600**
Manufacturing – Metals, Machinery and other Minerals (basic metals)	D24	C24	0.0300
Manufacturing – Metals, Machinery and other Minerals (fabricated metal products, except machinery and equipment)	D25	C25, 28, 33	0.0300
8. Manufacturing – Machinery and Equipment (Total)	**D26T28**	**C26-27**	**0.0350**
Manufacturing – Machinery and Equipment (computer, electronic & optical products)	D26	C26	0.0175
Manufacturing – Machinery and Equipment (electrical equipment)	D27	C27	0.0175
Manufacturing – Machinery and Equipment (machinery and equipment n.e.c.)	D28	C28	
9. Manufacturing – Transport Equipment (Total)	**D29T30**	**C29-30**	**0.0250**
Manufacturing – Transport Equipment (motor vehicles, trailers and semi-trailers)	D29	C29	0.0125
Manufacturing – Transport Equipment (other transport equipment)	D30	C30	0.0125
10. Electricity (Total)	**-**	**D3510**	**0.0350**
Electricity – Generation (Total)	-	D3510	0.0175
Electricity – Generation (renewable energy, e.g. hydroelectric, biomass, solar and other renewable-energy technologies power plants)	-	D3510	0.0088
Electricity – Generation (non-renewable energy, e.g. coal, gas, oil and nuclear power plants)	-	D3510	0.0088
Electricity – Distribution (Total)	-	D3510	0.0175

Sector, sub-sector and further activity breakdowns	OECD Stan Industry Code	ISIC Rev. 4	Sectoral weights
11. Construction (Total)	**D41T43**	**F41-43**	**0.0750**
Construction – Buildings and Other Specialised Activities	-	F41, 43	0.0375
Construction – Civil Engineering	-	F42	0.0375
12. Distribution – Retail (Total)	**D47**	**G45, 47**	**0.0750**
Distribution – Retail (non-specialised retail stores, incl. supermarket and department stores)	-	G471, 478-9	0.0375
Distribution – Retail (specialised retail stores)	-	G45, 472-77	0.0375
13. Distribution – Wholesale (Total)	**D45T46**	**G45-46**	**0.0900**
14. Transport (Total)	**-**	**H49-52**	**0.0600**
Transport – Surface, excl. pipeline (Total)	-	H491-2, 5210, 5221, 5224	0.0200
Transport – Surface (interurban railways)	-	H491	0.0080
Passenger transport [domestic / international]	-	H4911	0.0040
Freight transport [domestic / international]	-	H4912	0.0040
Transport – Surface (road transport and urban rail transport)	-	H492	0.0080
Passenger transport [domestic / international]	-	H4921-2	0.0040
Freight transport [domestic / international]	-	H4923	0.0040
Transport – Surface (services incidental to rail and road transport, incl. rail and road infrastructure, stations, cargo handling and other support activities)	-	Rail/road-related: 5210, 5222, 5224-9	0.0040
Transport – Water (Total)	D50	H50, 5210, 5222, 5224-9	0.0200
Transport – Water (sea and coastal transport)	-	H501	0.0080
Passenger transport [domestic / international]	-	H5011	0.0040
Freight transport [domestic / international]	-	H5012	0.0040
Transport – Water (inland water transport)	-	H502	0.0080
Passenger transport [domestic / international]	-	H5021	0.0040
Freight transport [domestic / international]	-	H5022	0.0040
Transport – Water (services incidental to water transport, incl. ports and terminal facilities, related cargo handling and other support activities)	-	Maritime/ IWT-related: 5210, 5222, 5224-9	0.0040
Transport – Air (Total)	D51	H51, 5210, 5223-9	0.0200
Transport – Air (air transport)	-	H51	0.0160
Passenger air transport [domestic / international]	-	H511	0.0080
Freight air transport [domestic / international]	-	H512	0.0080
Transport – Air (services incidental to air transport, incl. airports, ground service activities, related cargo handling and other support activities)	-	H5210, 5223-9	0.0040
15. Accommodation, Food Services, Arts, Entertainment and Recreation – Total		**I55-6, N79, R90-93**	**0.0350**
Hotels & Restaurants – Accommodation	D55	I55	0.0175
Hotels & Restaurants – Food and beverage service activities, other touristic services and arts, entertainment and recreation activities	D56, D79, D90T93	I56, N79, R90-93	0.0175
16. Media (Total)	**D58T60, D63**	**J58-9, 60, 63**	**0.0150**
Media – Radio & TV Programming and Broadcasting activities (Total)	-	J60	0.0075
Media – Radio & TV broadcasting (radio broadcasting)	-	J601	0.0038
Media – Radio & TV broadcasting (TV programming and broadcasting activities)	-	J602	0.0038
Media – Other Media (Total)	D58, D63	J58-9, 63	0.0075
Media – Other Media (publishing of books, periodicals and other publishing activities, and web-based media portals)	D58, D63	J58, 63	0.0038
Media – Other Media (Motion picture, video and television programme production, sound recording and music publishing activities)	-	J59	0.0038
17. Telecommunications (Total)	**D61**		**0.0400**
Telecommunications – Fixed (facilities and services-based wired telecommunication service services, incl. internet services providers)	-	J611	0.0200

Sector, sub-sector and further activity breakdowns	OECD Stan Industry Code	ISIC Rev. 4	Sectoral weights
Telecommunications – Mobile (facilities and services-based mobile telecommunication services, incl. satellite telecommunications services and value-added services)	-	J612-9	0.0200
18. Financial Services – Banking (Total)	**-**	**K6419**	**0.0600**
19. Financial Services – Insurance (Total)	**-**	**K65, 662**	**0.0150**
Financial Services – Insurance (life insurance/reinsurance, pension and related auxiliary services)	-	K6511, 652-53, 662	0.0075
Financial Services – Insurance (non-life insurance/reinsurance and related auxiliary services)	-	K6512, 652, 662	0.0075
20. Financial Services – Other Financial Services (Total)	**-**	**K643-9, 661, 663**	**0.0100**
Financial Services – Other Financial Services (auxiliary to financial markets: securities and commodity exchanges, securities and commodity brokerage, investment advisory services and related activities)	-	K661	0.0033
Financial Services – Other Financial Services (trusts, funds and fund management activities)	-	K643, 663	0.0033
Financial Services – Other Financial Services (other financial activities: financial leasing, other credit activities, factoring, venture capital)	-	K649	0.0033
21. Professional Services (Total)	**-**	**M691-2, 702, 71, 721, 74**	**0.0250**
Professional Services – Legal Services (Total)	-	M691	0.0063
Professional Services – Legal Services (domestic law counselling and court representation)	-	M691	0.0031
Professional Services – Legal Services (foreign and international law counselling)	-	M691	0.0031
Professional Services – Audit & Accounting (Total)	-	M692	0.0063
Professional Services – Audit & Accounting (audit)	-	M692	0.0031
Professional Services – Audit & Accounting (accounting and tax consultancy)	-	M692	0.0031
Professional Services – Engineering Services (Total)	-	M711, 721	0.0063
Professional Services – Architectural Services (Total)	-	M711, 741	0.0063
22. Real Estate Investment – Total	**D68**	**L68**	**0.1350**
Real Estate Investment – Commercial Buildings & Units	-	L68	0.0450
Real Estate Investment – Residential Buildings & Units	-	L68	0.0450
Real Estate Investment – Land (industrial, commercial and residential)	-	L68	0.0450

Note: Sectoral weights are based on data for 64 economies included in the OECD Input-Output Tables, Edition 2018, and correspond to their respective average shares of total value added over the following periods: 1995, 2000, 2005, 2010 and 2015. The weights are rounded up or down to unity whenever digits were above 0.75 or below 0.25, and rounded to half a unity (0.5) otherwise. Sub-sector/activity weights correspond, in turn, to simple average weights of each sub-sector/activity within its sector/sub-sector group. The overall FDIRRI score is computed as the weighted average of all 22 sectors.

Annex B. FDIRRI methodology updates since 2010

This annex provides an overview of the changes made in the last revision of the FDIRRI methodology in 2022, compared to the previous methodology, adopted in 2010 (Kalinova, Palerm and Thomsen, 2010[1]). The 2022 revision introduced several enhancements aimed at improving the accuracy, comparability and transparency of the information captured by the FDIRRI. These changes focus on the following aspects: (1) sectoral disaggregation and weighting, (2) revised policy scoring framework, (3) sector-specific clarifications and (4) FDIRRI dissemination and transparency. The potential effects in results arising from these changes in methodology are also briefly discussed below.

Sectoral disaggregation and weighting

Additional disaggregation: The 2022 methodology features increased disaggregation within sectors, allowing for a more precise measurement of FDI restrictions. While the previous 2010 methodology followed the structure of the International Standard Industrial Classification of All Economic Activities, Revision 3 (ISIC rev. 3), there was no formal correspondence. The current methodology now formally aligns with ISIC rev. 4 and the sectoral categorisation applied in the OECD Structural Analysis Industry database (OECD STAN), providing for clearer sectoral categories and addressing previous inconsistencies.

Updated weighting methodology: The new weighting system better reflects the economic significance of the 22 sectors covered. The 2010 methodology assigned equal weights to the sectors, which failed to account for their economic importance. The 2022 update applies weights based on each sector's global economic significance, measured by their average share in total value added over the years 1995, 2000, 2005, 2010 and 2015 and across all 64 economies included in the OECD Input-Output Tables. Common sector weights across countries and time helps to ensure that variations in FDIRRI scores mostly reflect differences in policy settings, while still accounting for variations in the sectoral distribution of FDI restrictions.

Revised policy scoring framework

Enhanced scoring: The revised scoring framework captures a broader range of policy variations by: 1) recording foreign equity restrictions in a more detailed way, including through additional ownership thresholds; 2) addressing situations where foreign equity restrictions apply only to certain entry modes; and 3) explicitly incorporating policies restricting foreign shareholding in publicly-listed companies, divestment obligations, market reservations for small- and medium-sized enterprises (SMEs), and specific restrictions on the participation of foreigners in the privatisation of state-owned enterprises and assets.

This detailed assessment improves consistency and transparency in evaluating policy measures. In terms of ownership thresholds, the previous methodology only distinguished between scenarios of no foreign equity, less than 50% foreign equity, and over 50% but less than 100% foreign equity. The revised methodology includes thresholds of no foreign equity, less than 33%, up to 50%, over 50% but up to 67%,

and over 67% but less than 100% foreign equity. Market reservations for SMEs are recorded as foreign equity restrictions to ensure clarity in assessment.

Standardised assessment: A new standardised scoring adjustment framework accounts for variations in policy scope beyond what is directly captured by the policy and sector breakdowns of the FDIRRI. Previously, the adjustments were made informally; the new methodology formalises these adjustments to ensure transparency and comparability across economies.

Transparency in screening: The 2022 methodology enhances transparency regarding screening mechanisms for foreign investments, particularly those related to national security. Screening policies based on national security considerations are now documented as *memorandum* items for transparency and are not scored, ensuring consistency in results. Discriminatory screening measures based on economic considerations continue to be scored. The revised methodology drops the monetary and ownership threshold levels that were used to differentiate between more or less stringent screening policies under the 2010 methodology, as well as the distinction between approval and notification with discretionary elements due to monitoring difficulties.

Revisions to the 'other restrictions' policy category: The new methodology no longer includes local incorporation requirements (except in banking, insurance, and real estate investment) due to their frequent occurrence and minimal impact on FDI restrictiveness. However, it now covers additional measures within the 'other restrictions' policy category: 1) discriminatory minimum capital requirements, 2) local content requirements and 3) preferential treatment for locally owned companies in public procurement. Additionally, the new methodology also clarifies land access restrictions for foreigners categorising them into two types: 1) restrictive conditions for land acquisition, such as discriminatory approvals and size limits; and 2) prohibitions on land ownership but allowances for leases with terms categorised by duration, with shorter leases receiving higher restrictiveness scores.

Sector-specific clarifications

Fisheries and water transport: The revised framework clarifies that restrictions on vessel registration and licensing are treated as "foreign equity restrictions" when they serve as gateway to the market. Activities like commercial fishing and cabotage transport may be limited to vessels flying the national flag, with registration possibly involving foreign ownership restrictions. These foreign shareholding conditions are considered equity restrictions when they control market access. Additionally, conditions for foreign-flagged vessels and nationality requirements for captains are addressed within this framework.

Professional services: The revised framework includes various licensing and ownership conditions impacting foreign participation. Nationality requirements for full practice, limited license systems, and local assistance requirements are treated as "foreign equity restrictions" or "local content requirements" depending on the specific nature of the restriction.

FDIRRI dissemination and transparency

Comprehensive online database: A significant enhancement in the 2022 methodology is the development of a comprehensive online database consolidating all underlying measures captured in the FDIRRI based on a thorough review of relevant legislation across all countries covered. This database provides detailed information on each country's FDI regulatory restrictions, improving transparency and allowing users to relate a country's score with its regulatory framework for foreign investment.

Strong correlation of results between the updated and the previous methodology

The revised FDIRRI demonstrates a strong alignment with previous results, as the core regulatory information remains largely unchanged. A 92% correlation in overall FDIRRI scores is observed between the new and old methodologies for 2020 (old series) and 2021 (new series), and an 87% correlation is seen for 2018, the overlap year for both series. Similarly, correlations for countries' quartile positions during these periods are 82% and 80%, respectively.

The scores for foreign equity restrictions (91% correlation between new and old methodologies for 2020 (old series) and 2021 (new series)) and screening measures (82%) mostly drive this consistency, despite technical changes to the scoring framework. Scores in the policy categories of key foreign personnel (68%) and other restrictions (60%) are more meaningfully affected by the new methodological modifications, such as reduced scores assigned to some policy measures under these categories, the removal of local incorporation requirements from the list of measures (except in real estate and financial services) and clearer frameworks for recording restrictions to access to land and real estate and nationality requirements for directors and managers.

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